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| **Utility**: | Utility is the capacity of a commodity to satisfy human wants. |
| **Marginal utility**: | Marginal utility is the utility derived from the last or Marginal unit of consumption. |
| **Elasticity of Demand**: | The Elasticity of Demand refers to the rate of change in demand due to a given change in price. |
| **Consumer's Surplus**: | The difference between the potential price and actual price. |
| **Indifference Curves**: | ICs means all those combinations of any two goods which give equal satisfaction to the consumer. |
| **Indifference Map**: | A set of indifference curves upper ICs denoting higher levels of satisfaction and lower ICs lesser level of satisfaction. |
| **Price line or Budget line:** | The line joining various combination of the two goods which the consumer can buy at given prices and income. |
| **Consumer's Equilibrium:** | It refers to a situation under which a consumer spends his entire income on purchase of a goods in such a manner that it gives him maximum satisfaction and he has no tendency to change it. |



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